



The End of Cycles?

The world's economic graph over the next few decades may resemble jagged shards of broken glass, with many tips pointing downwards

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EVEN THOUGH the economic world is accustomed to periodic ups and downs, most seasoned observers place their faith on a certain rhythm to this ebb and flow—namely, that corrective policy action and market forces will inevitably address the causes behind any downturn, paving the way for the next upswing. And life will go on. This cyclicity, almost akin to the seasons of nature, lies at the core of most long-term forecasting and preparation. But what if repeated assaults on the edifice of this cyclicity have brought things to a point where familiar patterns begin to disappear, making the future far more difficult to envisage with any degree of accuracy? A sense of helplessness, albeit self-induced, may begin to take root, shaking the world out of its smug complacency. We are at that crossroads today.

The dominance of the US in global economic affairs, and its obsession with the world of finance, has led us to view all matters through the prism of money. A firm belief that there is practically nothing in the world

that cannot be addressed through a monetary or fiscal manoeuvre—tweaking interest rates or printing money. So, for many Americans, the best example of a Black Swan event would be the Lehman Brothers collapse, almost as much as the 9/11 attack. But, as the events of the last two years have shown, and the severe heatwaves of this summer portend, far bigger calamities probably lie in store in the years ahead, to which there is no quick fix known to man.

This is particularly germane to the economic world, as the damage would not only show up in loss of life or livelihood in some remote part of the globe, which the western world can dismiss with some polite, insincere acknowledgement. This time it is showing up in hard, quantifiable losses running into trillions, and threatening to become even worse. Taiwan, the world's chip factory, is a good example. Since last year, it has been witnessing the worst drought in five decades, as typhoons have all but disappeared and monsoons rare. Chip factories are water guzzlers and production has had to be curtailed severely, leading to shortages across

industries. Whereas a drought in a small Asian island wouldn't even have made for a footnote in the western media, now everyone, from California to Gurugram, seems to be praying for rains in Taiwan.

Or take the case of China, where the government has chosen such a strict tolerance policy against Covid-19 that shutdowns have brought economic growth to a standstill. In the second quarter, GDP growth slowed to 0.4 per cent, and most analysts believe that too was an overstated number. More than two years after its onset, this is how heavy a price the pandemic continues to exact on global economic growth.

The most recent instance of alarm has been the series of continuing heatwaves sweeping across the western world. 40 degrees Celsius, mostly unheard of in the Continent, is par for the course this summer. And there is more at stake than a sweaty brow. Wheat prices are going through the roof as production plummets in Europe; olive oil prices soar as Italy grapples with its worst drought in 70 years. The Food and Agriculture Organization or FAO's Food Prices Index